

ECON 301 Managerial Economics

Spring 2026

Department of Economics, Strome College of Business
Old Dominion University

Instructor: Dr. Rex Sitti

Class Meets: Asynchronous (Online)

Office Location: Strome College of Business / Constant Hall Room 2033

Email: rsitti@odu.edu

Office Hours: Tuesday and Wednesday 2 – 3:30 pm ET or by appointment

Zoom: <https://odu.zoom.us/j/91231224537>

Course Description

Managerial Economics examines the application of economic theory and methodology to managerial decision making and strategy. Key topics are demand analysis, economic forecasting, production, cost analysis, the economics of organization, market structure and strategic behavior, pricing techniques, and government regulation and its implications for firm behavior. Emphasis is placed on the global context of managerial decisions. This is a 3-credit-hour course. Please plan for at least two and a half hours daily (for unit sets, study, case study project assignments and discussions).

Course Prerequisites

ECON 201S and ECON 202S and BNAL 206, in addition to a declared major at the University or permission of the Dean's Office. Pre- or corequisite: MATH 200 or equivalent.

Course Objectives

Upon successful completion of the course, students should be able to:

1. Application of Economic Concepts: Apply theories and synthesize data to examine private sector and/or public sector problems.
 - a. Apply various elasticities of demand as a quantitative tool to forecast changes in revenues, prices, and/or units sold.
 - b. Apply normal form and extensive form representations of game theory to formulate decisions in strategic environments that include pricing, advertising, coordination, bargaining, innovation, product quality, monitoring employees, and entry.
 - c. Formulate pricing strategies that permit firms to extract additional surplus from consumers—including price discrimination, two-part pricing, block pricing, and commodity bundling—and explain the conditions needed for each of these strategies to yield higher profits than standard pricing.
 - d. Identify strategies for mitigating potential asymmetric information problems that can lead to moral hazard and adverse selection.
 - e. Identify strategies to manage risk and uncertainty, including diversification and optimal search strategies.

- f. Explain how price-matching guarantees, brand loyalty programs, and randomized pricing strategies can be used to enhance profits in markets with intense price competition.

This outcome is assessed using ten multiple choice questions in the Final exam. We would judge that the learning objective was satisfactorily achieved if at least 75% of the students in the sample correctly answered seven or more of the ten questions.

2. Communication: Explain economic issues clearly, concisely, and professionally for a variety of audiences using written and/or oral communication. This outcome will be assessed using case study assignments with rubric, covering one out the seven units in the course. We would judge that the learning objective was satisfactorily achieved if at least 75% of the students in the sample score 70 or higher in the assignment.
3. Data Analysis: Use appropriate statistical techniques to determine causality and formulate conclusions. This outcome will be assessed using an excel problem with rubric, covering one out the six topics covered in the course. We would judge that the learning objective was satisfactorily achieved if at least 75% of the students in the sample score 70 or higher in the assignment.

Required Textbook

Title: Managerial Economics and Business Strategy

Release: 2025

Author: Michael Baye

Students will access all course materials on McGrawHill Connect through ODU Canvas. Instructions for accessing McGrawHill Connect will be provided on Canvas.

Course Expectations and Communications

Canvas: All relevant information about the course will be posted on Canvas. This includes announcements, assignments, and grades. The best way to reach me with questions about an assignment or details of the course is via email. Email me to schedule an appointment for assistance on specific assignments or to discuss any questions or concerns you may have about the course.

Computer: Any computer capable of running a recently updated web browser should be sufficient to access your online content. Many locations on campus, including Perry library, offer free access to a computer and high-speed internet (with a valid ODU email).

I routinely check emails and Canvas inbox messages daily during the week. Please anticipate a response by the end of the next working day.

Assignments and Grading

This course includes 7 activity-based assignments, 7 quizzes, 5 homework assignments, 2 case studies, and a final exam as follows:

- **Activity-Based Assignments (Roleplays) [350 points or 17.5% of final grade]:** Assigned in weeks 1, 3, 5, 7, 9, 11, and 13. Each assignment is worth 50 points with 2 attempts allowed.
- **Quizzes (Multiple Choice) [350 points or 17.5% of final grade]:** Assigned in weeks 1, 3, 5, 7, 9, 11, and 13. Each quiz is worth 50 points with 2 attempts allowed.

- **Homework Assignments [500 points or 25% of final grade]:** Assigned in weeks 2, 4, 6, 10, and 12. Unlimited attempts allowed.
- **Case Study Midterm [300 points 15% of final grade]:** Available March 1-15, 2026 (due before Spring Break). There are three comprehensive case studies. Students will select and complete two of the three case studies. This assignment serves as the midterm examination.
- **Final Exam [500 points 25% of final grade]:** Comprehensive, timed exam on May 7, 2026. One attempt only.

These assignments will be completed on CONNECT.

Late Submission Policy

A 1% per hour penalty will be applied to all late assignments. This penalty begins immediately after the due date and time. Plan accordingly and submit assignments early to avoid technical issues.

Grading Scale

Grade	Percentage
A	93-100%
A-	90-92%
B+	87-89%
B	83-86%
B-	80-82%
C+	77-79%
C	73-76%
C-	70-72%
D+	67-69%
D	63-66%
D-	60-62%
F	0-59%

Course Schedule

Course runs from January 20, 2026 through April 30, 2026. The final exam will be open on May 7, 2026.

Week	Dates	Chapter/Topic	Assignments Due
1	Jan 20-25	Chapter 1: The Fundamentals of Managerial Economics	Activity & Quiz 1

2	Jan 27-Feb 1	Chapter 2: Market Forces: Demand and Supply	Homework 1
3	Feb 3-8	Chapter 3: Quantitative Demand Analysis	Activity & Quiz 2
4	Feb 10-15	Chapter 4: The Theory of Individual Behavior	Homework 2
5	Feb 17-22	Chapter 5: The Production Process and Costs	Activity & Quiz 3
6	Feb 24-Mar 1	Chapter 6: The Organization of the Firm	Homework 3
7	Mar 3-15	Chapter 7: The Nature of Industry	Case Study Midterm (Mar 1-15) Activity & Quiz 4
—	Mar 16-22	<i>Spring Break - No Classes</i>	—
9	Mar 23-29	Chapter 8: Managing in Competitive, Monopolistic, and Monopolistically Competitive Markets	Activity & Quiz 5
10	Mar 30-Apr 5	Chapter 9: Basic Oligopoly Models	Homework 4
11	Apr 6-12	Chapter 10: Game Theory: Inside Oligopoly	Activity & Quiz 6
12	Apr 13-19	Chapter 11: Pricing Strategies for Firms with Market Power	Homework 5
13	Apr 20-26	Chapter 12: The Economics of Information	Activity & Quiz 7
Final	May 7	<i>Comprehensive Final Exam</i>	One Attempt

University Policies

Academic Integrity

Old Dominion University is committed to maintaining the highest standards of academic integrity. Students are expected to uphold these standards in all their academic work. Violations of academic integrity include but are not limited to plagiarism, cheating, and unauthorized collaboration. Please review the University's policy on academic integrity at:

<https://www.odu.edu/about/policiesandprocedures/academic/13/13>

Cheating: Copying, collaborating, or completing an academic exercise with or for other students or parties without permission from the class-assigned faculty member; paying someone to complete assignments; using any unauthorized materials to assist on assignments; misusing study aids such as Chegg, Quizlet, Course Hero, etc., to complete or pass class

assignments; using test banks or copying answers from another source or student. **This also includes unauthorized use of artificial intelligence sites, including, but not limited to, ChatGPT, Dall-E, Alpha Code, Tensor Flow, Scribe, etc., and any act or behavior that gives the student an unfair advantage.**

Disability Services

Old Dominion University is committed to providing reasonable accommodations to students with documented disabilities. If you have a disability and require accommodations, please contact the Office of Educational Accessibility at (757) 683-4655 or visit <https://www.odu.edu/accessibility>

Privacy of Student Information

Old Dominion University recognizes its duty to uphold the public's trust and confidence in following laws and regulations and maintaining high standards of ethical behavior. The Privacy of Student Information details Family Educational Rights & Privacy Act (FERPA), along with other information regarding privacy. For more information, visit: <https://www1.odu.edu/about/policiesandprocedures/studentinfo>

Technical Support

If you experience any problems with your ODU account, you may call (757) 683-3192 or email itshelp@odu.edu any time, day or night.

Case Study Assignment Rubric

Criteria	Outstanding (20-16 pts)	Good (16-12 pts)	Average (12-8 pts)	Poor (8-0 pts)
Organization & Structure	Response addressed each question thoroughly and clearly. Writing was well organized.	Response addressed each question fully. Writing was organized.	Did exactly what was asked and provided explanations.	Writing was disorganized or did not address questions clearly.
Grammar (10-8 pts)	Writing had very few grammatical or spelling errors.	Writing had some grammatical or spelling errors.	Writing had a number of grammatical or spelling errors and was an obvious first draft.	Writing was riddled with errors, rendering it nearly unreadable.
Formatting & References (10-8 pts)	Meets all formal requirements; references are complete and follow Chicago Manual of Style.	Meets format requirements; references complete with minor errors.	Generally correct formatting; references are complete.	Numerous formatting errors; references incomplete.

Corporate Social Responsibility (60-48 pts)	Responded by incorporating appropriate supporting facts and applied CSR from the reading to align with opinions and comments.	Responded by incorporating supporting facts and CSR from the reading to align with opinions.	Provided general responses or opinions. Cited only the readings.	Did not provide supporting facts or only provided a summary of the reading.
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